Apple lost $1 billion. The fix was deleting 70% of its products.

A turnaround by subtraction.

A loss of about $1 billion.

≈ −$1B

Apple's fiscal 1997 loss

> Mac clones were eating sales. The board pushed out CEO Gil Amelio.

AUGUST 1997

Microsoft buys $150 million of Apple stock.

1. $150M in Apple shares
2. Office for Mac for 5+ years
3. Announced at Macworld Boston

Jobs becomes interim CEO.

> Then the cutting starts.

More than 70% of products: gone.

Newton

Clones

Most of the line

Everything fit on one 2x2 grid.

CONSUMER

Desktop + Portable

PRO

Desktop + Portable

More than 3,000 layoffs in year one.

> Focus has a price. Pretending it doesn't is how teams avoid it.

A $309 million profit.

FISCAL 1997

≈ $1B loss

FISCAL 1998

$309M profit

> First full year in the black since 1995.

Draw your own 2x2. Cut what falls outside it.

1. List every project
2. Pick your 2 axes
3. Cut what doesn't fit